

CHALLENGES AND OPPORTUNITIES

There will undoubtedly be periods when dual momentum underperforms its benchmarks. During those times, investors may lose sight of the big picture and be tempted to behave in ways that hurt them in the long run. The main challenge facing dual momentum investors in the future may very well be their own willingness to follow the model patiently and with the requisite discipline. It is human nature to want to tinker and attempt to add value even when it is impossible to do so. Unfortunately, because of overconfidence, we tend to overweight our own opinions so that most “enhancement” efforts actually end up being counterproductive.

Grove et al. (2000) did a meta-analysis, or study of studies, on 136 published papers across a wide range of professions in which they analyzed the accuracy of quantitative models versus expert judgment.⁴ Models beat experts 94% of the time. Human judgment prevailed over quantitative models in only eight studies, and all of these had access to information not available to the quantitative models. Even when given access to the quantitative model results, experts still underperformed the models. Quantitative models had become a ceiling rather than a floor. According to Grove et al., “Humans are susceptible to many errors in clinical judgment. These include ignoring base rates, assigning nonoptimal weights to cues, failure to take into account regression toward the mean, and failure to properly assess covariation.”⁵

Jim Simons, the billionaire founder of Renaissance Technologies and Medallion Fund, is one of the best systems traders on the planet. His personal income in 2013 from managing his hedge funds was \$2.2 billion. Simons says, “So if you’re going to trade using models, you should just slavishly use the models. You do whatever the hell it says no matter how smart or dumb you think it is now.”⁶

I have learned through my experiences with dual momentum the importance of firmly adhering to a proven, disciplined approach that has clearly shown it can successfully adapt to different market conditions. I have also come to recognize that I am no match for dual momentum and to value it as my best investment friend.